



and moving parts; and we're just beginning to see the benefits of that. We don't have any real data on that yet. As a corporation, we've had TTI in Germany which has an auto store in place, and that's working well for them. We've launched our auto store and filled it with products which are coming out now.

We've put a huge amount of money into vertical lift modules (VLMs). We currently have 138 vertical lift modules—more than any other company in the world. When we finish the new expansion, we'll probably double that. So, we'll be, by far, the largest user of VLMs. It's like a big filing cabinet, but it brings the inventory to the order pullers. The whole concept really is about trying to speed up the process of picking and the vertical lift modules are really good at doing that. We have all our fast-moving parts in there.

What's the benefit to your customers because of this level of automation?

The throughput time for us from the time we get an order to the time it's ready to ship is about 15 minutes! Sometimes it's so quick that some customers phone us half an hour later and say that they want to add another item to the order, and we have to tell them to place another order. Because it's easier to do that than to add to the earlier order, which has already been boxed and is ready to ship.

Is there any manual involvement in the entire warehousing operations?

Oh, yes—quality assurance and oversight. That's the key involvement; to see that everything is running smoothly. Plus, handling of smaller quantity orders. We ship even a single component to a customer, and handling of such small quantities is still manual. We have over 1,400 employees in the distribution centre.

What brings you to India? Is India doing better than expected, or does it need to do more to meet expectations?

We've got a large and growing team here. We have over 800 people in our Bangalore office. We have a back office doing lots of things for us corporately. We have a local sales team for India and our India business continues to grow strongly. I think we've got a good opportunity to grow it even more.

Do the team members move out of the office, or do they remain at office to support?

My team, which is the sales and customer service team, is primarily in the office. They're the customer service people. The manager goes to see some local customers to be sure where they need support.

Overall, we have 850 people in India. We have the local India team here, and then we have the bigger global team that's doing a fantastic job. There are also lots of product marketing people and web people who support our global organisation.

Remember, Mouser has grown in the last two years by \$2 billion. We could not have done that without India. With what we have in place here now, we've done that, and hired people. Hiring is probably one of the biggest issues anywhere in the world. If we tried to do all that in Texas, we wouldn't be able to do it. The local presence here has really enabled our growth.

Growing \$2 billion in two years is tough. It puts a lot of stress on a business, but I don't think our customers have really felt that - which is nice. Some days I wake up and wonder how we do it, but it's because of everybody working together. We couldn't have done it without the people in Bangalore, to be honest.

How do you estimate the potential of a market like India, or any other geography which does not have much data, to figure out the targets and performance?

We look at a couple of things, including the dollars that are coming in, because that's what pays the bills. The other thing that's important to us is the number of customers. With our broad product and supplier base, we do a lot of marketing activities to be sure that we get the right products in front of the right people.

We know what our customers are interested in, and we make sure that we send them relevant information—regardless of whether they're in an EMS, telecommunications, or computer company.

What is your next set of targets for India?

Well, when I look at the data, we've been very successful in South India. We've been less successful in West India. We think part of the reason is we don't have people in the place to do that. Hence, we have recently launched a new office in Pune. We think that many people in the West are probably more likely to use Pune than Bangalore. Pune is our office number two; we'll see how well it goes, before expanding further.

Plus, we are working on making it easier for our customers to pay in Indian currency. Hope to share that good news soon.

Can you clarify a little more about this—what's expected to change?

People can pay with a credit card now, but they can't pay in Indian rupees. We need to work through all the financial legalities, from a taxation standpoint. It's a time-consuming process but we are making progress. Stay tuned. Once complete, it will be good news for the customers in India. **EFY**